Ellery Partners

Transaction services | Financial due diligence

Frostline Cold Storage Financial Due Diligence

Summary of audited and management financial information, and financial due diligence findings,

Prepared for Quillwood Credit Partners

Prepared by Ellery Partners

20 February 2026

Version 1.0, for credit committee use

Reference: EP-FDD-2026-014

Date: 20 February 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	Frostline Cold Storage Pty Ltd
ABN	74 505 998 193
Registered address	Level 2, 118 Whitehall Street, Yarraville VIC 3013
Sponsor	Northbridge Infrastructure (Northbridge Infrastructure Partners Fund II, acting through Northbridge Infrastructure Management Pty Ltd)
Proposed facility	Senior secured delayed-draw growth capex term facility, A$63.0M, 60 months
Auditor	Ashgrove Whitlam Chartered Accountants
Prepared by	Ellery Partners
Prepared for	Quillwood Credit Partners
Report date	20 February 2026
Version	1.0

Report details

1. Purpose, scope and basis of preparation

Quillwood Credit Partners has asked Ellery Partners to summarise the historical financial information of Frostline Cold Storage Pty Ltd (Frostline, or the group) and to report on financial due diligence findings relevant to a proposed senior secured delayed-draw growth capex term facility of A$63.0M. The facility would part-fund the A$78.5M Truganina cold store expansion (14,500 additional pallet positions) and the Dandenong South automated storage and retrieval system (ASRS) retrofit. The balance of A$15.5M is to be funded by sponsor equity contributed ahead of the first drawdown.

This report is based on the following sources: the audited financial statements of Frostline for the years ended 30 June 2024 (FY24) and 30 June 2025 (FY25), audited by Ashgrove Whitlam Chartered Accountants; management-prepared, unaudited financial information for the six months ended 31 December 2025 and the twelve months to that date (LTM Dec-25); and the information memorandum dated 9 February 2026 (the IM), prepared by Ellery & Stroud Corporate Advisory Pty Ltd as adviser to the borrower. Ellery Partners is a separate firm from Ellery & Stroud Corporate Advisory Pty Ltd and has no interest in Frostline, the sponsor or the transaction.

All amounts are in Australian dollars. Figures are in A$ millions (A$M) unless stated. Totals may not sum exactly because of rounding. LTM Dec-25 figures have been derived by management and have not been audited or reviewed by the auditor. We have not audited any of the information provided and give no assurance opinion.

At the date of this report the independent valuation by Calloway Hartigan Valuers Pty Ltd and the quantity surveyor's report by Pemberton Raine Quantity Surveyors Pty Ltd have not been issued. The portfolio market value of A$368.0M and the A$78.5M total development cost used in this report are the figures stated in the IM. We have not verified either figure, and the loan to value ratios shown depend on them.

2. Executive summary

Frostline is a profitable, cash generative operator with stable margins and moderate existing leverage. The proposed facility would lift leverage materially before any expansion earnings are realised. Our principal findings are set out below.

- Earnings: LTM revenue is A$92.8M and LTM EBITDA is A$31.6M, a margin of 34.1%. Revenue grew 9.8% in FY25 and EBITDA grew 11.0%, helped by the Derrimut acquisition in September 2024. EBITDA margin has improved from 33.2% in FY24 to 34.1% on an LTM basis.
- Cash flow: operating cash flow before interest was A$27.7M on an LTM basis, a conversion of 87.7% of EBITDA. After maintenance capex of A$4.5M, net interest of A$9.4M and growth capex of A$7.6M, free cash flow was A$6.2M.

- Leverage: gross debt is A$130.0M, cash is A$17.6M and net debt is A$112.4M, which is 3.6x LTM EBITDA. Gross debt is 35.3% of the A$368.0M portfolio market value.
- Pro forma position: on full drawdown of A$63.0M, gross debt rises to A$193.0M, net debt to A$175.4M (5.6x LTM EBITDA) and LVR to 52.4% on current market value. Illustrative interest cover falls to about 2.1x before any expansion earnings.
- Revenue quality: about 19% of revenue is under multi-year agreements with minimum pallet commitments, and 29% is on rolling terms without minimums. The IM describes the contract profile in more than one way, and we have asked management to reconcile it (section 6).
- Expansion: the new capacity is uncommitted. Our sensitivity shows net debt to EBITDA of 4.5x to 4.8x once the expansion is operating at 60% to 88% utilisation, which is above the current 3.6x.
- Information gaps: the independent valuation, the quantity surveyor's report, the hedging schedule, the existing debt terms and a customer concentration schedule are outstanding. These are listed in section 12.

3. Business and ownership

Frostline operates five freehold temperature-controlled warehousing and distribution facilities in Melbourne at Dandenong South, Laverton North, Somerton, Truganina and Derrimut. The portfolio provides about 61,200 pallet positions across 74,500 square metres of gross floor area. Customers include food manufacturers, importers, supermarket and foodservice distributors, and pharmaceutical logistics operators, served under storage, handling and transport arrangements. Portfolio utilisation was 88% in the most recent reporting period.

The business was founded by the McAllister family in August 2009 with a single 7,800 pallet position store at Dandenong South. Laverton North was commissioned in November 2014. Northbridge Infrastructure acquired a majority interest in March 2019, with the founding family retaining a minority holding and management roles. Truganina opened in June 2022 with 16,400 pallet positions, including a pharmaceutical-grade temperature zone. Derrimut was acquired and brought into operation in September 2024. The directors are Fiona McAllister (Managing Director and Chief Executive Officer), Dimitri Kalogeropoulos (Executive Director and Chief Financial Officer) and Rohan Verhoeven (Non-executive Director, Northbridge Infrastructure nominee).

4. Income statement

Table 1 summarises the income statement for FY24 and FY25 (audited) and LTM Dec-25 (unaudited). Expenses are shown in brackets.

A$M	FY24	FY25	LTM Dec-25
Storage revenue	40.2	43.0	46.1
Handling revenue	26.4	29.1	31.2
Transport and other revenue	13.0	15.3	15.5
Total revenue	79.6	87.4	92.8
Electricity	(11.4)	(12.1)	(12.6)
Employee costs	(19.1)	(21.2)	(22.4)
Subcontract transport	(8.4)	(9.6)	(10.1)
Repairs and maintenance	(4.0)	(4.4)	(4.6)
Property outgoings	(5.3)	(5.9)	(6.2)
Other operating costs	(5.0)	(4.9)	(5.3)
EBITDA	26.4	29.3	31.6
EBITDA margin	33.2%	33.5%	34.1%
Depreciation and amortisation	(8.6)	(9.5)	(10.2)
EBIT	17.8	19.8	21.4
Net finance costs	(7.9)	(9.1)	(9.4)
Profit before tax	9.9	10.7	12.0
Income tax expense	(3.0)	(3.2)	(3.6)
Net profit after tax	6.9	7.5	8.4

Table 1: Summary income statement

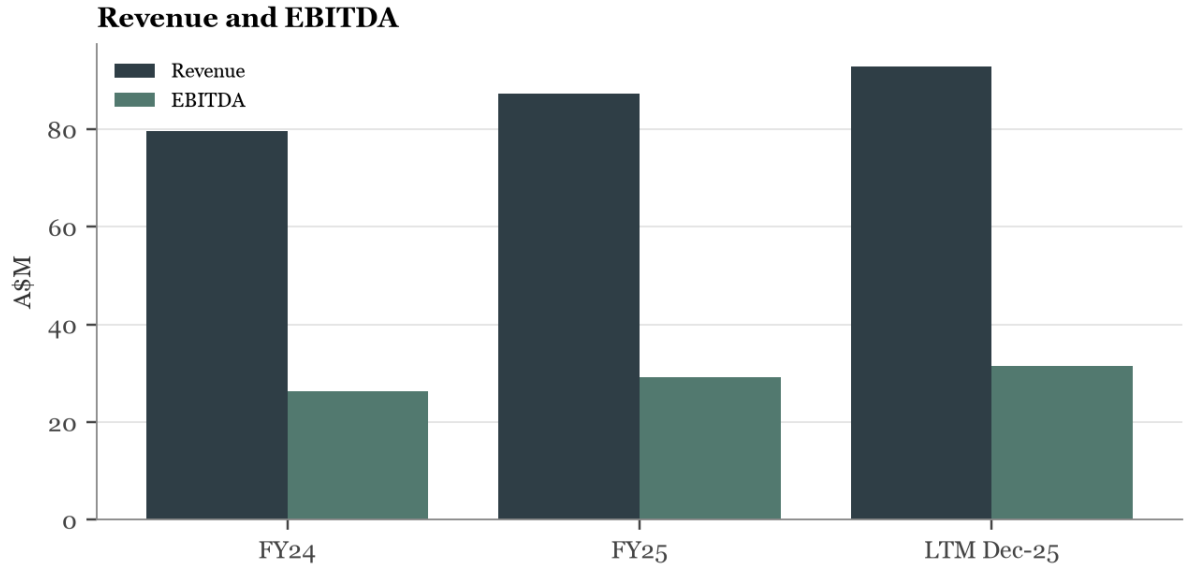


Figure 1: Revenue and EBITDA, FY24 to LTM Dec-25

4.1 Revenue

Revenue grew 9.8% in FY25 to A$87.4M and a further 6.2% to A$92.8M on an LTM basis against FY25. Storage revenue is the largest line at 49.7% of LTM revenue, followed by handling at 33.6% and transport and other at 16.7%. FY25 includes about ten months of Derrimut, which was brought into operation in September 2024. Management has not provided a site-level revenue split, so we cannot separate acquisition-driven growth from organic growth. We consider this a priority request, because the LTM figure includes a full year of Derrimut while FY24 includes none.

Revenue per pallet position was about A$1,516 on an LTM basis across 61,200 positions, or about A$1,723 per occupied position at 88% utilisation. These unit figures are used in the sensitivity analysis in section 9.

4.2 Operating costs and margin

Electricity is the most important cost sensitivity for a refrigerated operator. It was A$12.6M in the LTM period, or 13.6% of revenue, compared with 14.3% in FY24. The decline as a share of revenue may reflect customer pass-through, efficiency gains or contract pricing, and the IM does not separate these. Employee costs were A$22.4M, or 24.1% of revenue. EBITDA margin has widened by 0.9 percentage points over the period, mainly through electricity and other operating costs growing more slowly than revenue.

Net finance costs of A$9.4M on year-end gross debt of A$130.0M imply an average cost of about 7.2%. Interest cover (EBITDA to net finance costs) was 3.4x on an LTM basis. Depreciation is charged on a cost basis, so the income statement does not reflect the uplift of market value over carrying value discussed in section 5.

5. Balance sheet

Table 2 shows the balance sheet at 30 June 2025 (audited) and 31 December 2025 (unaudited management accounts).

A$M	30 Jun 2025	31 Dec 2025
Cash	14.2	17.6
Trade and other receivables	12.1	12.9
Other current assets	2.2	2.4
Total current assets	28.5	32.9
Land and buildings	216.1	214.0
Plant, racking and equipment	66.7	69.4
Capital works in progress	2.9	6.1
Intangible assets	1.9	1.8
Total non-current assets	287.6	291.3
Total assets	316.1	324.2
Trade and other payables	(11.2)	(11.8)
Contract liabilities	(2.9)	(3.1)
Employee provisions	(3.7)	(3.9)
Borrowings	(128.0)	(130.0)
Deferred tax liability	(17.0)	(17.6)
Other provisions	(2.1)	(2.2)
Total liabilities	(164.9)	(168.6)
Net assets	151.2	155.6
Contributed equity	112.0	112.0
Retained earnings	39.2	43.6

Table 2: Summary balance sheet

5.1 Asset base and valuation

Property, plant and equipment is carried at cost less accumulated depreciation, totalling A$289.5M at 31 December 2025. The IM states a portfolio market value of A$368.0M, of which land is A$96.5M (26.2%). The market value is A$6,013 per pallet position, compared with a carrying value of about A$4,730 per position. The gap of roughly A$78M between market value and carrying value is not recognised in the accounts. Capital works in progress rose from A$2.9M to A$6.1M in the half. We have asked management to confirm how much of this relates to early works at Truganina or Dandenong South, as this affects whether any of the A$78.5M has already been spent.

5.2 Debt and equity

All borrowings of A$130.0M are classified as non-current, which implies no scheduled repayment inside twelve months. We have not seen the existing facility documents and cannot confirm maturity, amortisation, security ranking or covenants. Whether the existing lender would consent to the new facility, or whether a refinancing or intercreditor arrangement is needed, is a threshold matter for the transaction structure. Contributed equity has been unchanged at A$112.0M across both balance dates, so the A$15.5M sponsor contribution has not yet been made.

Net debt was A$112.4M at 31 December 2025, against A$113.8M at 30 June 2025. Retained earnings rose A$4.4M in the half, consistent with no dividends being paid. The deferred tax liability of A$17.6M reflects accelerated tax depreciation and is not a cash claim in the near term.

6. Revenue contract profile

The IM states that about 19% of revenue is contracted under multi-year agreements with minimum pallet commitments, with the balance on rolling storage and handling terms. Elsewhere it states that 71% of revenue is contracted and that 29% is on rolling terms without minimum commitments. These statements can be reconciled if 71% refers to revenue under written customer agreements and only part of that has minimum commitments. Table 3 shows our working reading. The 52% category is derived by difference and has not been confirmed by management.

Category	Share of revenue	Minimum commitments
Multi-year agreements	19%	Yes, minimum pallets
Written agreements, shorter or evergreen	52%	No (derived)
Rolling storage and handling terms	29%	No
Total	**100%**	

Table 3: Revenue by contract type (Ellery Partners reading of the IM)

On this reading, only 19% of revenue carries a minimum volume commitment. The credit relevance is that 81% of revenue can move with customer volumes at short notice, although the 88% utilisation and revenue growth to date indicate demand has been resilient. A customer concentration schedule, contract expiry profile and minimum commitment values have been requested.

7. Cash flow

Table 4 summarises cash flow. The cash flow statement is prepared from EBITDA to show cash conversion clearly. FY24 and FY25 reconcile to the audited statements. LTM Dec-25 is derived by management.

A$M	FY24	FY25	LTM Dec-25
EBITDA	26.4	29.3	31.6
Movement in working capital	(0.9)	(1.1)	(0.8)
Income tax paid	(2.4)	(2.8)	(3.1)
Operating cash flow before interest	23.1	25.4	27.7
Maintenance capex	(3.8)	(4.2)	(4.5)
Growth capex and acquisitions	(6.5)	(26.0)	(7.6)
Net interest paid	(7.9)	(9.1)	(9.4)
Free cash flow after interest	4.9	(13.9)	6.2
Net borrowings drawn or (repaid)	(2.0)	16.0	2.0
Net change in cash	2.9	2.1	8.2
Closing cash	12.1	14.2	17.6

Table 4: Summary cash flow

Conversion of EBITDA to operating cash flow before interest has been steady at 86.7% to 87.7%, and working capital outflows are small. After maintenance capex, conversion is 85.8% on an LTM basis. FY25 shows growth capex and acquisitions of A$26.0M, which includes the Derrimut acquisition and was funded by net borrowings of A$16.0M and cash flow. Free cash flow after interest of A$6.2M on an LTM basis is positive but thin relative to the proposed A$63.0M facility, so the group relies on drawn debt and sponsor equity to fund the expansion.

Maintenance capex of A$4.5M is 4.8% of LTM revenue. Frostline owns refrigeration plant, racking and building services that will need replacement over time, and the adequacy of this level should be tested against the asset condition review in the quantity surveyor's report once issued.

8. Credit metrics and leverage

Metric	FY24	FY25	LTM Dec-25
Gross debt (A$M)	112.0	128.0	130.0
Cash (A$M)	12.1	14.2	17.6
Net debt (A$M)	99.9	113.8	112.4
Net debt / EBITDA	3.8x	3.9x	3.6x
Interest cover (EBITDA / net finance costs)	3.3x	3.2x	3.4x
Operating cash conversion	87.5%	86.7%	87.7%
Conversion after maintenance capex	85.6%	85.7%	85.8%

Table 5: Historical credit metrics (leverage at balance date, flow metrics for the period)

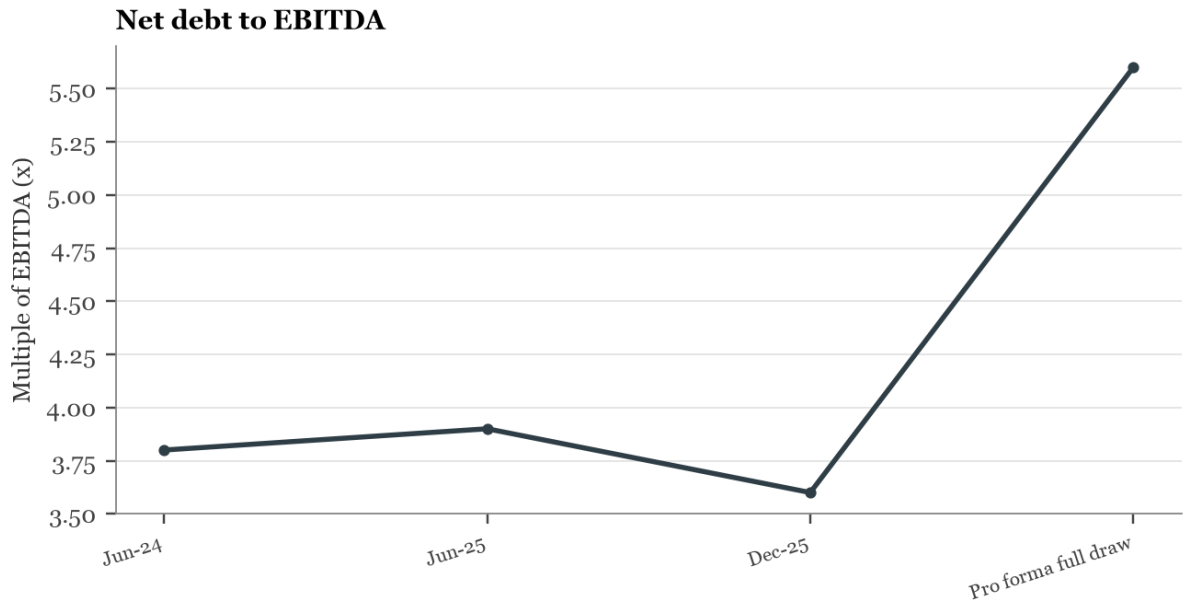


Figure 2: Net debt to EBITDA, historical and pro forma on LTM EBITDA with no expansion earnings

Leverage rose in FY25 with the Derrimut acquisition and fell back to 3.6x by December 2025 as EBITDA grew. Pro forma net debt to EBITDA of 5.6x is calculated on LTM EBITDA of A$31.6M and takes no credit for earnings from the new capacity. Interest on floating rate debt is exposed to movements in 3 month BBSW. We have not seen the hedging schedule, so the proportion of existing and future debt that is fixed is unconfirmed.

9. Expansion funding and pro forma position

9.1 Sources and uses

Item	A$M	Share
Truganina expansion and Dandenong South ASRS retrofit	78.5	100.0%
Total uses	78.5	100.0%
Senior secured delayed-draw facility	63.0	80.3%
Sponsor equity (contributed before first drawdown)	15.5	19.7%
Total sources	78.5	100.0%

Table 6: Sources and uses

The A$78.5M cost equates to about A$5,400 per added pallet position when spread over the 14,500 new positions. This figure includes the ASRS retrofit at Dandenong South, which adds automation rather than positions, so the true cost of the new capacity alone is lower. The sources and uses table does not include the establishment fee (1.50% of A$63.0M, or about A$0.9M), commitment fees or construction period interest. Indicative pricing is 3 month BBSW plus 4.75% per annum on drawn amounts and 1.25% per annum on undrawn amounts, subject to credit approval and final terms. Whether these costs sit inside the A$78.5M budget or are funded separately must be confirmed, as any additional cost would need further equity or would increase debt.

9.2 Pro forma capital structure

A$M unless stated	Current	Pro forma full draw
Gross debt	130.0	193.0
Cash	17.6	17.6
Net debt	112.4	175.4
Portfolio market value (current)	368.0	368.0
LVR (gross debt / market value)	35.3%	52.4%
Gross debt / LTM EBITDA	4.1x	6.1x
Net debt / LTM EBITDA	3.6x	5.6x
Interest cover (illustrative)	3.4x	2.1x

Table 7: Current and pro forma capital structure

Pro forma figures assume full drawdown, unchanged cash and no change in market value. Pro forma interest cover is illustrative: it assumes 3 month BBSW of 3.85% (an Ellery Partners assumption, not a market forecast), giving an all-in rate of 8.60% on A$63.0M, or about A$5.4M of additional annual interest, with no capitalisation and no earnings from the new capacity. In practice market value should rise as the works complete, which would reduce the pro forma LVR, but this is subject to the independent valuation.

9.3 Sensitivity to utilisation of the new capacity

The expansion capacity is uncommitted. Table 8 shows an illustrative outcome at different utilisation levels of the 14,500 new positions. It uses the LTM revenue per occupied position of A$1,723 and the LTM EBITDA margin of 34.1%, and it divides pro forma net debt of A$175.4M by the resulting EBITDA. It is not a forecast, ignores the ASRS efficiency benefits and any ramp-up period, and assumes existing portfolio earnings are unchanged.

Utilisation of new positions	Added revenue (A$M)	Added EBITDA (A$M)	Net debt / EBITDA
60%	15.0	5.1	4.8x
75%	18.7	6.4	4.6x
88% (current portfolio level)	22.0	7.5	4.5x

Table 8: Illustrative pro forma leverage by utilisation of new capacity

Even at the current portfolio utilisation, net debt to EBITDA of 4.5x remains about 0.9x above the current level. Deleveraging would therefore depend on a combination of ramp-up, EBITDA growth in the existing portfolio and cash sweep or amortisation terms in the final facility.

10. Notes to the financial statements

Note 1: Basis of preparation

The FY24 and FY25 financial statements were audited by Ashgrove Whitlam Chartered Accountants. Management has advised that the audit opinions on both years were unmodified. We have sighted the audit reports on this basis and recommend that Quillwood Credit Partners obtain signed copies as a condition of approval. The 31 December 2025 information is unaudited.

Note 2: Revenue recognition

Storage revenue is recognised over time as pallet positions are occupied. Handling revenue is recognised when services are performed, and transport revenue when deliveries are completed. Amounts invoiced in advance are held as contract liabilities (A$3.1M at 31 December 2025).

Note 3: Property, plant and equipment

Land and buildings, racking and plant are carried at cost less accumulated depreciation and impairment. Depreciation is charged on a straight-line basis over the estimated useful lives of the assets. Land is not depreciated. No revaluation has been recognised, so the A$368.0M market value stated in the IM is not reflected in the balance sheet.

Note 4: Borrowings

Borrowings of A$130.0M are drawn under existing senior facilities. We have not reviewed the facility agreements. Interest is floating rate, and the extent of hedging is to be confirmed.

Note 5: Income tax

Tax expense is recorded at 30% of profit before tax, which is the corporate rate. The deferred tax liability of A$17.6M arises mainly from differences between accounting and tax depreciation.

Note 6: Contingencies, commitments and subsequent events

Management has advised that there are no material contingent liabilities, litigation or related party balances, other than ordinary sponsor management arrangements. We have not seen a management representation letter confirming this. Capital commitments for the expansion are expected to be entered into once funding is in place. Management has advised of no events after 31 December 2025 that would materially affect the financial information.

11. Key risks and due diligence observations

- Construction risk: the Truganina expansion and the Dandenong South ASRS retrofit carry risks of cost overrun, delay and commissioning of automated equipment. Observation: the A$78.5M cost has not been verified, and sponsor equity of A$15.5M ahead of first drawdown is a partial mitigant. A fixed price contract, contingency and cost to complete testing should be examined once the quantity surveyor's report is issued.
- Energy cost and supply: refrigeration is power intensive and electricity was 13.6% of LTM revenue. Wholesale price movements may be only partly recovered through pass-through provisions. A 10% increase in electricity costs would reduce LTM EBITDA by about A$1.3M (4.0%) if wholly unrecovered.
- Customer concentration: the largest customers represent a significant share of revenue, and 29% of revenue is on rolling terms without minimum commitments. No concentration schedule has been provided.
- Leverage on full drawdown: pro forma LVR of 52.4% and net debt to EBITDA of 5.6x arise before expansion earnings are realised.
- Interest rate exposure: debt is floating rate, and the effectiveness of the hedging programme is unconfirmed. Each 1.00% rise in BBSW adds about A$1.9M of annual interest on pro forma gross debt of A$193.0M if unhedged.
- Regulatory and refrigerant risk: the phase-down of synthetic refrigerants and food safety and pharmaceutical storage compliance requirements may require plant replacement or upgrade spending, which may not be reflected in maintenance capex of A$4.5M.
- Leasing risk on expansion capacity: the new capacity is uncommitted and relies on utilisation holding near the current 88%. A pre-leasing condition would reduce this risk.

12. Information outstanding and limitations

- Independent valuation by Calloway Hartigan Valuers Pty Ltd, including site-level values and the basis of the A$96.5M land value.
- Quantity surveyor's report by Pemberton Raine Quantity Surveyors Pty Ltd, covering the A$78.5M budget, programme, contingency and contract structure.
- Signed FY24 and FY25 audited financial statements and audit reports, and confirmation of the review status of the December 2025 information.
- Site-level revenue and EBITDA, including the Derrimut contribution since September 2024.
- Reconciliation of the 19%, 71% and 29% contract figures, with a customer concentration schedule and contract expiry profile.
- Existing facility agreements, maturity profile, covenant compliance and hedging schedule.
- Electricity contracts and the pass-through terms in customer agreements.
- Treatment of fees and construction period interest in the A$78.5M budget.

This report has been prepared for Quillwood Credit Partners for the purpose of assessing the proposed facility and must not be relied on by any other party. It relies on information supplied by the borrower and its advisers, and we

have not independently verified it. The findings are provisional pending the outstanding items above, and we will update this report when they are received.

13. Sign-off

Prepared by	Engagement lead, Ellery Partners
Reviewed by	Partner, Ellery Partners
Date	20 February 2026
Status	Version 1.0, subject to outstanding information in section 12

Report sign-off